Executive Summary
Template

Churn is driven by customer behavior, not price sensitivity. A targeted retention strategy will prevent value destruction.

- PowerCo's SME division is facing a **9.7% annual churn rate**, which threatens future revenue streams and market share.
- Historically, the company has relied on reactive measures, struggling to identify at-risk customers before they terminate their contracts.

- The initial hypothesis suggested that **price sensitivity** was the primary driver of customer churn.
- PowerCo was considering a **broad price reduction strategy**. However, if price is not the root cause, this approach would unnecessarily erode profit margins without effectively stopping the leakage of customers.

How can PowerCo reduce churn effectively without sacrificing unnecessary margin?

Predictive Findings:
- Price is secondary
- True Drivers
- Critical Timing

Strategic Recommendation:
- Abandon the blanket price cut
- Targeted Intervention